

*for*106-A REYNOLDS VILLAGE
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paveways.com

May 29, 2009

Victor Sosa
Marketing Director
R.J. Reynolds Tobacco Company
401 N. Main Street
Winston-Salem, NC 27101

Proposal: Dissolvables Internal Communication Materials
Project Number: 09-RJR-066

PAVE Creative Group is excited to present this proposal for consideration. We look forward to working with R.J. Reynolds Tobacco Company to develop Dissolvables Internal Communication Materials for presentation to the Leadership Team.

Scope of Work:

Message Development
Concept Development & Design of Materials
Art Direction & Design of Video
Video and Materials Production

Development costs include: Project Management, Concept, Copywriting, Design/Layout, Art Direction, Mechanicals, Proofing, and Revisions.

Thank you for choosing to work with PAVE!

Dissolvables Internal Communication Materials

Project Management (9.5 hrs @ \$100.00)	\$	950.00
Concept Development (12 hrs @ \$135.00)	\$	1,620.00
Copywriting (20 hrs @ \$135.00)	\$	2,700.00
Design (29 hrs @ \$135.00)	\$	3,915.00
Research (2 hrs @ \$80.00)	\$	160.00
Mechanical Preparation (6 hrs @ \$90.00)	\$	540.00
Art Direction (8 hrs @ \$ 135.00)	\$	1,080.00

Estimated Video & Materials Development Costs	\$	10,965.00
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223 Post (52.5 hrs @ \$200.00)	\$	10,500.00
Smart Dog (2.25 days @ \$1,050)	\$	2,362.50

Estimated Video & Materials Production Costs	\$	12,862.50
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TOTAL ESTIMATED COSTS:	\$	23,827.50
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Estimated costs do not include taxes, shipping and other project-related expenses.

Projects include two (2) rounds of revisions; additional rounds of revisions will be tracked by the hour and invoiced at \$100 per hour.

Final costs for project subject to +/- 10% of estimated costs. Costs outside these standards will be re-estimated prior to moving forward with additional billable services.

CLIENT APPROVAL (please sign)

DATE

SEE TERMS ON FOLLOWING PAGE

TERMS (CLIENT INITIALS _____)

TERMS

DEVELOPMENT COSTS

Once this proposal has been reviewed and approved, PAVE will begin work upon written notification, and 50% of the estimated development costs will be invoiced to the client. From that point forward, PAVE will invoice progressively against approved estimates on a thirty-day cycle, with terms of net thirty (30) days from the invoice date. Once a project is complete, a final invoice will be provided to close out the development phase for that project. Past due invoices are subject to a 2% late fee for each thirty day period beyond invoice due date. In addition, client shall reimburse PAVE for all attorney's fees and other costs incurred by PAVE in the event any actions are commenced by PAVE to collect any past due invoices.

PAVE PROCUREMENT SERVICES

As an additional service provided to clients, outside procurement costs such as printing, photography, production supervision, illustration services, premium items, film separations / proofs and camera-ready slicks will be estimated and invoiced separately. Written client approval is required prior to PAVE procuring these services, and 50% of the estimated amount will be invoiced at the initiation of production, with terms of net thirty (30) days, as above. Upon project completion, the client will be invoiced the balance of the costs, including applicable Federal, State and Local Taxes.

OUT-OF-POCKET COSTS

Costs such as travel and associated expenses will be provided at cost, and will be in addition to any estimated inside costs or procurement costs.